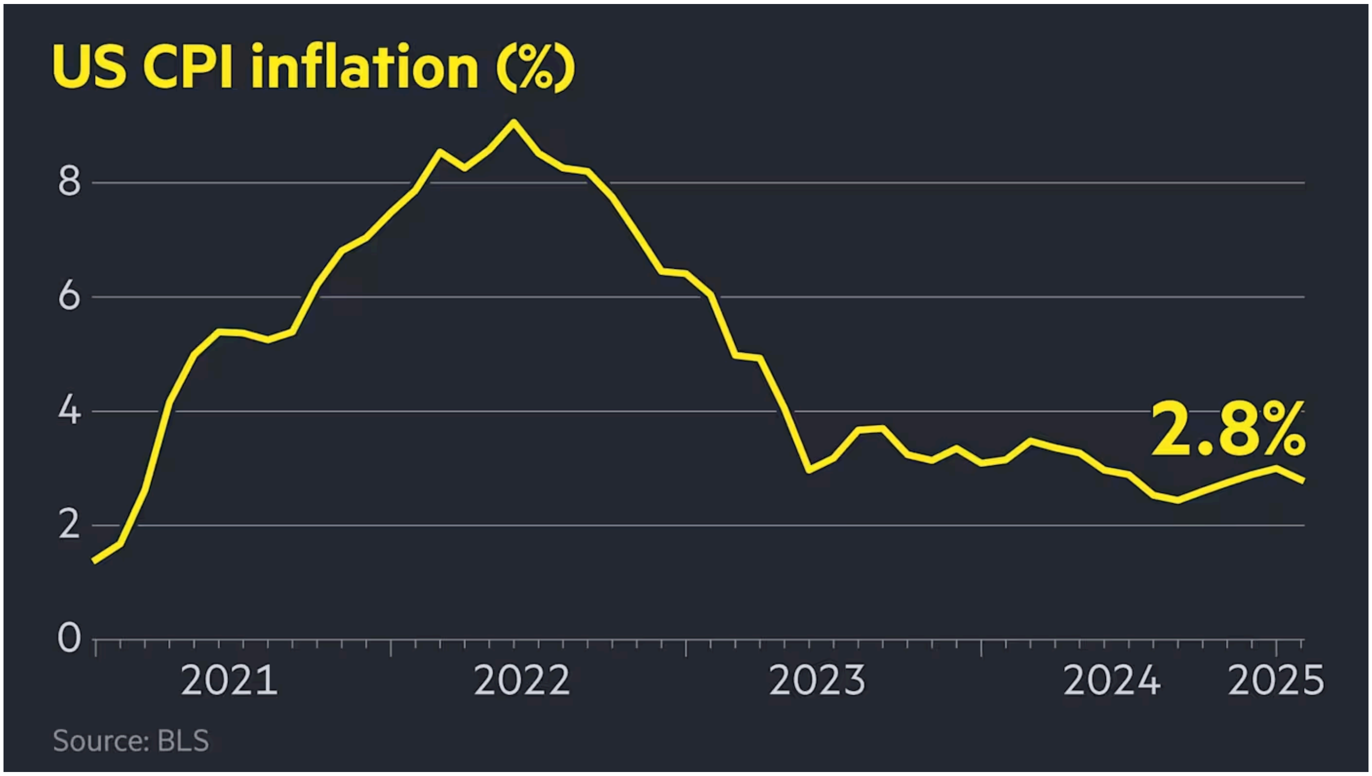
US inflation

US inflation fell more than expected to 2.8% in February

Figure bolsters case for cental bank to cut interest rates amid signs of slowing economic growth



Jennifer Hughes in London, **George Steer** in New York and **Stephanie Stacey** in Washington

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US inflation fell more than expected to 2.8 per cent in February, bolstering the case for the Federal Reserve to cut interest rates amid signs of slowing growth in the world's largest economy.

Wednesday's annual consumer price index figure was below January's 3 per cent and the 2.9 per cent expected by economists, according to a Reuters poll.

US stocks have slipped in recent weeks but rose on Wednesday, with the blue-chip S&P 500 closing 0.5 per cent higher and the tech-heavy Nasdaq Composite adding 1.2 per cent.

Futures markets are pricing in two rate cuts this year with a roughly 85 per cent chance of a third — up marginally from before the data release.

The US central bank faces a difficult balancing act as it tries to bring down inflation without triggering a recession, amid intensifying fears that President Donald Trump's aggressive economic agenda is hampering growth.

Businesses and financial markets have been rattled by the chaotic rollout of the president's tariffs on the US's biggest trading partners, which has been marked by sudden escalations and U-turns.

Wednesday's figures showed core inflation rose 3.1 per cent, falling short of expectations of a 3.2 per cent increase.

"Underlying inflation is slowing before we get to those upside risks of tariffs, which will come later in the spring, so that's positive for the Fed," said Veronica Clark, an economist at Citigroup. "That will make them less worried about planning cuts later in the year."

US inflation ticked down in February

% change in consumer price index for all urban consumers

Year over year

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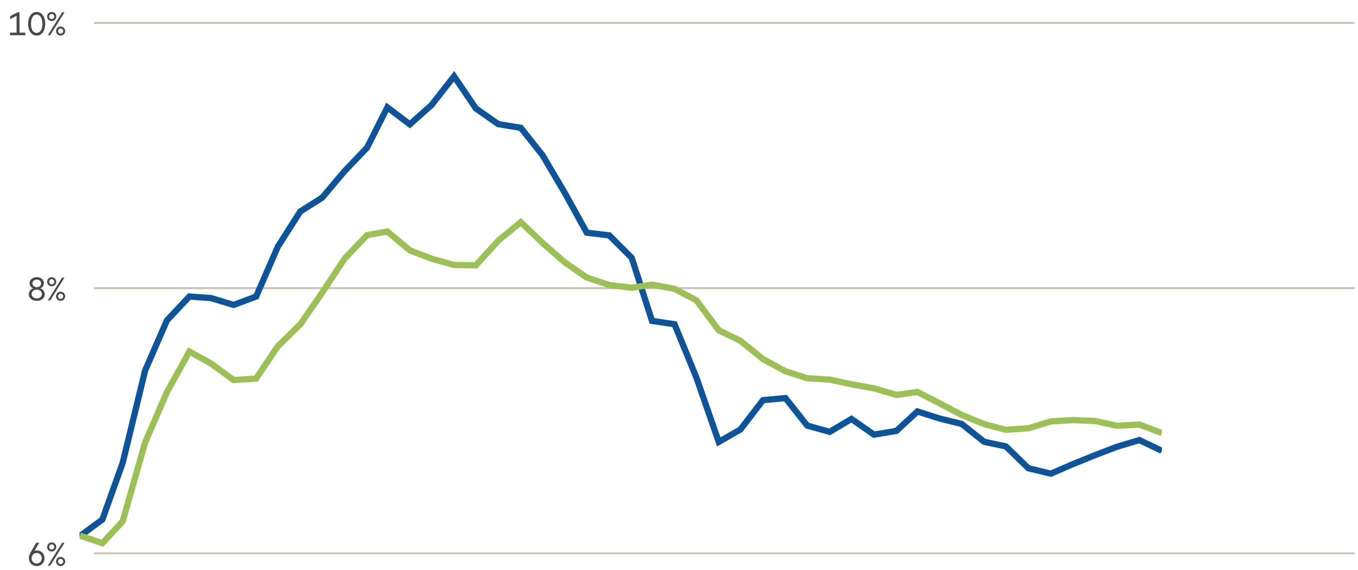

Last week, Fed chair Jay Powell played down concerns over the health of the US economy after the S&P 500 index's post-election gains were wiped out following the release of disappointing employment figures for February.

Powell suggested he expected the central bank to hold rates at their current range of between 4.25 per cent and 4.5 per cent at its meeting next week, saying the Fed was in no "hurry" to cut and was "focused on separating the signal from the noise as the outlook evolves".

The Bank of Canada on Wednesday cut interest rates by a quarter point to 2.75 per cent, citing the expected slowdown from "heightened trade tensions and tariffs imposed by the United States".

Although it said Canada's economy had begun the year in good shape, the BoC also noted slowing economic activity in the US and warned its own outlook was harder to fathom as a result of "more than usual uncertainty because of the rapidly evolving policy landscape".

Some economists and investors fear Trump's tariffs will stoke US inflation, with the price of several metals, including aluminium, rising after the administration imposed steep tariffs on imports from Wednesday.

The White House's decision to impose 25 per cent levies on all steel and aluminium imports triggered swift retaliation from the EU, which is targeting up to €26bn of US goods with tariffs.

Tom Porcelli, chief US economist at PGIM Fixed Income, said February's drop was welcome but said investors' relief could prove shortlived given the possible impact of tariffs.

In February, sectors registering the biggest price increases included medical care and used cars, while airfares and new cars were among those where costs declined.

Egg prices, a significant contributor to January's strong reading, were higher again in February, rising a further 10 per cent on the month for an annual increase of 59 per cent.

"It's good news, for sure, but I do think we don't want to overstate this," said Ryan Sweet, chief US economist at Oxford Economics. "Only the tariffs on China had gone into effect in February and it may be a bit too soon to be captured in this round of data."

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